
MODERN LATIN AMERICA

FIFTH EDITION

Thomas E. Skidmore
Peter H. Smith

New York Oxford
OXFORD UNIVERSITY PRESS
2001

ing field—by dominating the media, controlling electoral institutions, and using public resources to outmaneuver his opponents. A Fujimori victory appeared to be a foregone conclusion. Suddenly there emerged an upstart candidate, Alejandro Toledo, a U.S.-educated professor of business whose come-from-nowhere campaign was reminiscent of Fujimori's own meteoric rise in 1990. By winning more than 40 percent of the vote in the April 2000 contest, Toledo denied a majority to the president and forced a second ballot (scheduled the following month)—and then, with little warning, Toledo withdrew from the race in protest against what he claimed would be electoral fraud. As the relentless Fujimori prepared to take office for yet another term, the course of Peru's illiberal democracy remained a matter of apprehension and uncertainty.

SEVEN

MEXICO

The Taming of a Revolution

The history of Mexico offers a study in contrast. Rich in natural resources, the country has known both prosperity (if only for the elite) and poverty. For several decades after independence the nation's political life was a prototype of chronic instability. National governments came and went at gunpoint, threatening the new nation's territorial integrity. By mid-nineteenth century Mexico was heading toward a liberal government, which would have greatly reduced church power and the corresponding burdens of its colonial legacy. Political liberalism, however, gave way to the dictatorship of Porfirio Díaz (1876–80 and 1884–1911) and thence to the Mexican Revolution—the first of the world's great twentieth-century revolutions. Out of the Revolution came a political system which produced, for more than half a century, a political stability unmatched in Latin America.

Mexico's emergence from its colonial past has been conditioned by one factor no other Latin American nation shares: a 2000-mile border with the United States. That proximity had produced benefits and liabilities (as a Mexican president once exclaimed, "Poor Mexico! So far from God, and so close to the United States!"). Having tasted bitter defeat on the battlefield, the people of Mexico have retained their dignity and pride—and now, having faced repeated economic crises, the country has encountered the risks involved in becoming a leading member of the international community. Mexico's future, like its past, arouses emotions of anxiety and hope.

Mexico after Independence

The Wars for Independence left Mexico in disorder and decay. Conditions were far worse in Mexico than in Argentina or Brazil, because the actual fighting had been so much more widespread and protracted in Mexico. The economy was in shambles. Spaniards had taken their capital out of the country. The gold and silver mines, once the pride of Spain's overseas empire, had fallen into disrepair. Insurgents and royalists had both made a point of killing technicians while thousands of miners had gone off to war; without sufficient supervision, the mines had flooded and machiner

became utterly useless. Production plummeted to one-third its prewar level. Mining communities languished: Valenciana, for example, had 22,000 residents in 1810 and only 4000 in 1820. It would take another generation—and considerable sums of foreign investment—to restore the precious mines to full production.

The textile industry had also fallen on hard times. The scars of battle were visible throughout the country, especially the central valley. As one traveler recalled, there were "ruins everywhere—here a viceroy's palace serving as a tavern, where the mules stop to rest, and the drivers to drink pulque—there, a whole village crumbling to pieces; roofless houses, broken down walls and arches, an old church—the remains of a convent." Noting the toll on agriculture, too, another observer described how he and his companions "saw the houses roofless and in ruins blackened by fire, and had ridden over the plains still bearing faint traces of the plow; but the ranchers who tilled the ground had been murdered with their whole families during the war."

Roads had been neglected as well, so the country lacked a workable system of transportation and communication. Having ruled for 300 years, the Spaniards had managed to construct only three highways worthy of the name. Travel by stagecoach was difficult and hazardous, and transport—often by pack saddle—was costly and slow. This was a serious obstacle to economic integration.

Economic disorder meant there were very few jobs, and much unemployment. According to one estimate, about 300,000 men, most of whom had fought in the wars, had no job or income when the battles came to an end. This represented 15 to 30 percent of the entire adult male population. They were eager, often angry, and usually armed. They posed not only an economic problem but a social threat as well.

Some of these veterans managed to find work. Others turned to crime (highway robbery being a particular favorite). Others stayed on in the army. Still others drifted into unofficial, quasi-military units that provided support for local political bosses, generally known as *caudillos*, who were soon to play a dominant role in the Mexican political scene.

The wars also had a direct effect on Mexico's social structure. In the late 1820s the new government issued a decree expelling all Spaniards from Mexico. This ruling not only allowed the public to vent its hatred for the Spaniards; it also deprived the economy of an important source of capital. And it eliminated, at a single stroke, a leading segment of the nation's upper class or aristocracy. Now creole landowners, not Spanish-born, made up the upper echelons of Mexican society.

Economic transformations dating back to the Bourbon era, together with gradual recovery in the 1830s and 1840s, had made it possible for new groups to acquire wealth and status. Centered mainly in Mexico City, these aspirants, like most nouveaux riches, were ostentatious, putting on elaborate displays. As one foreign observer later recalled, the new rich did not understand all the rules of social propriety: "But although there are cabi-

nets inlaid with gold, fine paintings, and hundreds of rich and curious things, our European eyes are struck with numerous inconsistencies in dress, servants, &c., in all of which there is a want of keeping very remarkable." In sum, early nineteenth-century Mexico had a creole upper class with two parts: one consisted of old, traditional families who for the most part kept to their land; the other was new, drawn from commerce and the professions as well as land. And it was the new segment, the recently arrived, who became active in politics.

State Protocol and High Society

Outsiders can provide remarkable insight into social customs. Such was the case with Fanny Calderón de la Barca (1804-82), the Scottish-born wife of the Spanish minister to Mexico in the late 1830s and early 1840s. Her acute observations captured the fragility of a still-emerging social order, as in her description of reactions to her plan to wear a local dress from the state of Puebla to an upcoming "fancy ball":

[On January 5, 1840] We had a concourse of Spaniards, all of whom seemed anxious to know whether or not I intended to wear a Poblana dress at the fancy ball, and seemed wonderfully taken up about it. Two indefinite looking young Poblana ladies . . . told me that every one was very much pleased at the idea of my going in a Poblana dress. I thought everyone had very little to do and was rather surprised that *every one* should trouble themselves about it.

About twelve o'clock the president, in full uniform, attended by his aides-de-camp, paid me a visit, and sat pottering and talking for about half an hour, making himself very amiable as usual and as agreeable as he could. Shortly after came more Spaniards, and just as we were in hopes that are visiting was over, and were going to dinner, we were told that the secretary of state, the ministers of war, and of the interior, and others, were all in the drawing-room. In solemn array they came, and what do you think was the purport of their visit? To inform us that all Mexico was in a state of *shock* at the idea of my going in a Poblana dress, and to adjure me, by all that was most alarming, to discard the idea! They assured us that all Poblanas were *femmes de rien*—now this is what I call a sweeping clause on the part of the ministry—that they wore no stockings, and that *la ministra de España* should by no means wear, even for one evening, such a dress.

Ever the diplomat, Fanny "thanked the cabinet council for their warning" and managed to find a conventional gown.

Quotation from *Life in Mexico: The Letters of Fanny Calderón de la Barca*, ed. Howard T. and Marion Hall Fisher (Garden City, NY: Doubleday, 1966), pp. 125 and 691 (note 1).

Poverty persisted among the vast majority of the population. Especially in the center and the south, Mexico had a classic peasantry—large masses of *campesinos*, or country people, who scratched out meager livings from the land. Largely of Indian origin, sometimes mixed-blood or *mestizo*, Mexico's peasants furnished labor for the agricultural sector. Many worked on haciendas, where they lived in virtual serfdom, and some went begging in the cities.

The existence of this underemployed peasantry also guaranteed Mexico a large surplus labor force. Partly for this reason, and partly because of antireign sentiment, Mexican authorities did not encourage immigration from abroad. Unlike Argentina, Mexico never acquired a predominantly European-born working class. Nor did it undergo rapid population growth at any point in the nineteenth century. Starting with about 6 million residents in 1800, the country had about 7.6 million people in 1850; by 1900 the figure had climbed to 13.6 million, but even this represents a modest annual average growth rate of less than 1.2 percent over the fifty-year period. Mexico's population explosion would not come until the twentieth century.

There were two institutional bases of power in Mexico after independence—the church and the military. The church had come through the independence wars with most of its immense wealth intact. According to at least one observer, the church may have controlled nearly one-half the nation's land. The church earned regular income from rents on its vast real estate holdings, its investments were everywhere, and it was by far the largest banking operation in all Mexico. Its generous loans to large landowners not only guaranteed a steady income but also created a firm alliance with the upper echelons of Mexican society. Small wonder that the church and its economic holdings would eventually become a target of opposition, particularly among those who failed to benefit from ecclesiastical largess.

The second power base was the military, which dominated national politics. During the forty-year period from 1821 to 1860, Mexico had at least fifty separate presidencies, each lasting for an average of less than one year; thirty-five of these ill-starred regimes were led by army officers. The basic means of winning presidential office was through a military coup. And looming throughout this period was the tragicomic figure of Antonio López de Santa Anna, who held the presidency on nine separate occasions and who installed figureheads at other times.

Santa Anna was the most famous of Mexico's *caudillos*. These strongmen assembled their armed followers—miniature armies—who were primarily seeking wealth. Once they fought their way into national power, however, they often found that the treasury was running out (usually from previous military spending). Eventually the reigning *caudillo* band would break up and a new leader, with new followers, would seize power. The *caudillos* themselves did not bother with the arts of governance. That was left to a cadre of lawyers and professionals, many from Mexico City, who staffed the

ministries (and in this, the same faces often reappeared: there were nearly 600 separate cabinet appointments between 1820 and 1860, but they went to only 207 individuals). Thus did *caudillo* politics entail continuity as well as change.

The North American Invasion

Crippled by the Wars of Independence, Mexico was a weak and vulnerable new nation. To the north lay another new nation, which had thrown off its English master fifty years earlier. Now the fledgling United States was rolling westward and southward, headed for the vast, virtually unpopulated northern domains of what was formerly the Viceroyalty of New Spain.

Spaniards had never found the resources to settle the north—the huge territories of California, the entire Colorado River valley, and Texas. The best they could do was to create a network of religious missions, manned above all by the resourceful and loyal Jesuits. These sprawling lands became an obvious magnet for the restless North Americans. In 1821 Stephen Austin and a group of settlers moved into Texas, then a part of Mexico. Eventually chafing under central rule from Mexico City, the Texans revolted in 1835 and declared independence the following year. Attempting to crush the rebellion, Santa Anna led Mexican troops against the Alamo, killing the Texan defenders to the last man, but he later suffered defeat at San Jacinto and Texas remained independent. In 1845 the U.S. Congress voted to annex Texas, whose leaders promptly agreed.

The Mexicans saw the annexation of Texas as equivalent to an act of war by the United States, and disputes over financial claims continued to complicate U.S.-Mexican relations. President James K. Polk sent American troops into a disputed border area, a step that Mexicans saw as invasion. When Mexicans counterattacked, Polk called it war. By consent of Congress—but with the opposition of such prominent legislators as John C. Calhoun and Abraham Lincoln—Polk had the war he and his supporters sought.

It was a total mismatch. At first Santa Anna managed to resist American troops under Zachary Taylor, but in 1847 Winfield Scott led his columns directly from Veracruz to Mexico City. Ordinary Mexicans joined in the effort to fight off the U.S. army, and young military cadets—since remembered as the “boy heroes of Chapultepec”—chose death rather than to surrender their national flag. But it was to no avail. Mexico lost. The price it paid was heavy.

The treaty of Guadalupe Hidalgo brought a formal end to the war in February 1848. By the treaty, the United States paid Mexico a modest settlement of \$15 million and took the entire expanse of territory from Texas to California—about half of Mexico's national domain. This was a galling defeat, and its painful memory has never died in Mexico. Just as Americans are taught to “Remember the Alamo,” Mexicans learn tales of valiant struggle against overpowering odds. The official name of the dispute of-

fers a clue to sensibilities. In the United States it is called the "Mexican-American War," but in Mexico they call it the "War of the North American Invasion."

Reform, Monarchy, and the Restored Republic

Military humiliation had long-lasting impacts on Mexico. One was to nurture a nationalistic sentiment that often took the form of a virulent Yankee-phobia, a deep-seated distrust and hostility toward the United States. Another was to prolong political uncertainty, as Conservatives and Liberals accused each other of responsibility for the loss. Led by Lucás Alemán, Conservatives maintained that Mexico had weakened itself by foolishly trying to adopt the values and institutions of Anglo-Saxons to the north. What the nation required, according to Conservatives, was a return to its Hispanic tradition. Specifically it needed to promote aristocratic ideals, protect the legal privileges of the military and the church, and create a constitutional monarchy (perhaps by importing a European prince). In reply, Liberals argued that Mexico needed to embrace the cause of modernization, not tradition.

The standoff continued until the mid-1850s, when a desperate President Santa Anna sought to replenish the treasury (and his political fortunes) by selling off for \$10 million the Mesilla Valley (today southern New Mexico and Arizona), which the United States wanted for building a railroad to newly acquired California. This decision was widely criticized as a betrayal of national resolve, and it prompted Santa Anna's opposition to mount a new movement, which ousted him from power in 1855.

This initiated a tumultuous period remembered in Mexico as *La Reforma* (the Reform). Civilian-led Liberal governments enacted a series of sweeping reforms aimed at building a new social order. One key measure abolished the military and ecclesiastical *fueros*, the special dispensations exempting soldiers and clerics from having to stand trial in civil courts. Another prohibited ecclesiastical and civil institutions from owning property not directly used in day-to-day operations: this meant that the church could keep its churches, monasteries, and seminaries, but would have to auction off the massive holdings that it had accumulated over the centuries. (This was not social revolution: the lands were sold to wealthy *hacendados*, not landless peons. In fact this provision worked to the detriment of the poor, since it required the sale of properties held by *ejidos*, the communal landholdings of Indian villages.) A third initiative transferred the powers of registry from the church to the state: all births, marriages, adoptions, and deaths were henceforth to be registered by civil functionaries. In 1857 most of these provisions found their way into a new constitution, a liberal charter that granted Mexicans their first genuine bill of inalienable rights.

A Conservative reaction then resulted in the War of the Reform (1858-61), a struggle that was in many ways the culmination of the programmatic disputes, church-state controversies, and minor civil wars that had followed

in the wake of independence. As military campaigns intensified, so did ideological disputes. Now under Benito Juárez, a self-made lawyer of humble Indian origin, a Liberal government-in-waiting issued a series of decrees that went far beyond the Laws of Reform—establishing births and marriages as civil ceremonies, nationalizing church assets and properties, limiting religious processions in the streets, and, most important, formally separating church and state. After years of bitter fighting Juárez made a triumphant entrance into Mexico City and was formally elected president in 1861.

Peace still proved elusive. As the country confronted bankruptcy, Juárez declared a two-year moratorium on Mexico's foreign debt—thus earning the wrath of European creditors. Seeking to expand its empire and influence, France under Emperor Napoleon III commenced a five-year war of occupation. With Juárez out of office Napoleon III installed the Austrian archduke, Ferdinand Maximilian von Hapsburg, as emperor of Mexico (thus enacting the Conservative prescription for national redemption). Arriving in May 1864 a naive Maximilian tried to ingratiate himself with his new subjects by touring the provinces, declaring freedom of the press, and proclaiming a broad amnesty for political prisoners. Juárez nonetheless resisted and civil war ensued. Distracted by concerns in Europe, Napoleon eventually decided to withdraw French troops from Mexico. Hopelessly exposed by this betrayal, Maximilian surrendered in May 1867. An unforgiving Juárez ordered his execution the following month. Thus ended Mexico's experience with monarchy.

The resumption of power by Liberals ushered in what has come to be known as the "restored republic." Juárez and his republican cohorts earnestly attempted to set Mexico on the path of modernization. Reelected to a third term as president in July 1867, Juárez promoted extensive economic and educational reforms. Things went so well that he ran for a fourth time in 1871, in one of the most hotly contested elections of the nineteenth century. As Congress sealed Juárez's triumph, one of the losers, Porfirio Díaz, refused to accept the result and angrily proclaimed that indefinite reelection of the chief executive endangered the country's principles and institutions. The Díaz uprising was quickly put down, however, and Sebastián Lerdo de Tejada easily succeeded to the presidency after Juárez suddenly died of a heart attack in 1872.

Lerdo's term in office was relatively tranquil and constructive but problems arose when the president announced plans to seek reelection in 1876. A self-righteous Díaz once again revolted in the name of effective suffrage and no-reelection. After only one decisive military encounter, Díaz occupied Mexico City in November 1876. Directly or indirectly, he would dominate the country for decades to come.

The Díaz Era: Progress at a Price

For the thirty-five years from 1876 to 1911, Díaz proved himself to be a master of politics. He began with his military colleagues and followers and

from there went on to create a broad coalition. He gave the regional *caudillos* room to maneuver, encouraging them to fight among themselves. As his presidency matured, he steadily built up the army. In order to maintain control of the countryside, where the vast majority of Mexicans lived, Díaz relied heavily on the feared *guardias rurales*, or rural police. In short, Díaz patiently built up the power of the federal government where it counted—in military and police power.

At first Díaz did not seem to represent anything new in politics. He was, after all, a product of the liberal movement. As time passed, it became clear that Díaz was a Liberal with a difference. He cultivated neutrality on the crucial question of the church, neither attacking it (like most Liberals) nor defending it. He conspicuously allowed his devoutly Catholic second wife to serve as a symbol of reconciliation toward the institution the Liberals had pilloried.

In other respects Díaz stuck to liberal principles. In one of his most important and far-ranging measures, he ruled that the ban on corporate landholdings, a liberal measure of the 1850s aimed primarily at the church, should apply to Indian villages. This opened vast new areas to speculators, ranchers, and political favorites. In 1894 Díaz helped the landowners even more by decreeing that unused lands, or *terrenos baldíos*, could be taken over for private exploitation. The crucial source of new capital was to come from abroad. Díaz and his leading ministers sought out prospective foreign investors, especially U.S. and British, and offered them generous concessions. All this was an obvious application of the principles of economic liberalism that had captured most Latin American elites in the closing decades of the nineteenth century. In Mexico the writers, technocrats, and intellectually inclined politicians who articulated these doctrines earned the label of the *científicos*, underlining their supposed link to Positivist philosophy.

Díaz proved his command of politics in that most fundamental of ways: he stayed in power far longer than any would have dared to predict. For three and a half decades he held the presidency, with only one interruption (Manuel González: 1880–84). He believed that he was giving Mexico the precious gift of political stability, which he saw as indispensable for economic growth. If that required some repression, it was for a good cause. A shrewd politician, Díaz had the constitution amended, time and again, so that he could be reelected to the presidency—blithely contradicting his prior denunciations of self-perpetuation in office. Díaz knew how to appeal to the privileged sectors, how to make them loyal, how to orchestrate their support for the economic schemes that would raise their country to a “civilized” level.

Economic development was impressive. Railroads were a striking example. Díaz first tried to build them with public funds, but by late 1880 he was granting concessions to foreigners. In only four years the track in operation grew from 750 miles to 3600 miles. Mexico reached 12,000 miles of track by 1900. (On the other hand, paying interest and dividends on

this foreign investment was a burden on the balance of payments.) Originally foreign-built, most railroads were taken over by the state in 1907.

As elsewhere in Latin America, foreign trade rocketed: ninefold between 1877 and 1910. The United States became Mexico's leading trade partner, as mineral exports expanded to copper and zinc, as well as silver and gold. Modest industrialization occurred, centered in textiles, cement, iron, and light consumer goods. Díaz set great store by the need to pursue economic policies that would maintain Mexico's creditworthiness in the United States and Europe. In 1895 the federal government produced a budget surplus, and for the rest of Díaz's regime all budgets were balanced. As celebrations for the independence centennial of 1910 approached, Díaz and his lieutenants could claim that they had realized in Mexico the Positivist ideal of “order and progress.”

Economic activity varied in character from region to region, and this led to differing social structures. The north was primarily a mining and ranching area, where the workers were hired laborers—miners, for instance, and cowboys. The central valley, by contrast, produced wheat and grain on medium- and large-sized farms. Sugar was raised in the south-central region, particularly in the state of Morelos, where traditional peasant lands were being seized for use by the mills. Vast henequen plantations

The Apostle of Conservative Liberalism

A gifted intellectual and prolific writer, Justo Sierra (1848–1912) embodied the aspirations and contradictions of pre-revolutionary Mexico. Born in the modest province of Campeche, he studied law in Mexico City and became deeply influenced by liberalism. As director of the newspaper *La Libertad* between 1878 and 1880 and later, in one historian's phrase, as “the high priest of the liberal patria during the last decades of the Porfiriato,” Sierra promoted a “conservative liberalism” of social order, material progress, and national unity. He was also a leader of the *científicos*, a group of prominent citizens who championed the idea of “scientific politics.”

But if Sierra helped construct the ideological foundations of the Porfirian regime, he could be critical as well. On at least two occasions he expressed public opposition to Díaz's continued reelection. In 1902 he wrote a majestic book entitled *La evolución política del pueblo mexicano*, arguing that “the political evolution of Mexico has been sacrificed to her social evolution. This is proved by the plain fact that not a single party exists in Mexico, nor any group organized around a program rather than a man.” He was also a fervent supporter of public education, and as minister of education oversaw the founding of the modern National University in 1910.

prospered in the Yucatan, where local natives were compelled to work as peons.

Under Díaz, Mexico never developed a strong entrepreneurial class. Concessions and favors came from the state, and capital came from abroad—England, France, and, of course, the United States. The middle sectors were extremely weak as well.

These social factors bore deep political significance. Elsewhere in Latin America, middle-class professionals provided pressure and leadership for reformist movements, as in Argentina, and on occasion they drew support from fledgling industrialists, as in Chile. Not so in Mexico. It appears that turn-of-the-century Mexico had the social ingredients for a revolution, but relatively little material for reform.

The economic progress of the Díaz years also had its cost. While the wealthy prospered and duly copied the ways of European aristocracy, the vast majority of Mexicans faced grinding poverty. Given its labor surplus, Mexico's wage rates remained very low. Indeed, one estimate (doubtless exaggerated) showed that average purchasing power in 1910 was only one-quarter the 1810 level. Mexico exported agricultural products, while production of most Mexicans' dietary staples—corn and beans (*frijoles*)—barely kept up with population growth. There could be no improvement in the notoriously low per capita consumption levels prevailing at the outset of the Díaz era. Vital statistics were alarming. In 1900, 29 percent of all male children died within their first year, and many of the survivors ended up working twelve hours a day in a sweatshop. Only a quarter of the population was literate.

This highly unequal economic "progress" drew repeated protests from workers, both urban and rural. There were strikes, sometimes fierce, especially where wage labor worked under industrial-type conditions. Between 1906 and 1908, for example, Mexican workers at the Cananea Copper Company repeatedly protested the higher wages given to U.S. laborers. Significant strikes occurred also among the railroad workers and at the Río Blanco textile mills. Labor protest was intensified by the international financial crisis of 1906-8. In the rural sector, peasants in the Morelos area bitterly resented losing their land to commercial cultivation of sugar and other market crops. In the north there was a similar reaction to the loss of land for railway construction.

Díaz and his advisers could pursue a consistent economic policy because they had created the most effectively centralized government Mexico had seen since independence. Decision making was centralized in Mexico City, at the expense of local or regional *caudillos*. Political office, especially at the federal level, was sought after by the higher level of society. Those who made it were envied, since economic gain so often required contact with the government. Díaz himself knew full well the kind of system he had promoted. Near the end of his regime he explained: "We were harsh. Sometimes we were harsh to the point of cruelty. But it was necessary then to the life and progress of the nation. If there was cruelty, results have just-

fied it. . . . Education and industry have carried on the task begun by the army." Many of Díaz' opponents agreed on the need for national power, but denounced the way Díaz used it. Pressure was mounting as frustration grew among the younger elite who were excluded from the Díaz coterie. Time was working against Díaz, but who could have predicted how his carefully constructed house would come tumbling down?

The Mexican Revolution